Summary	Quote
****Advertising**** Gray's acquisition rationale connected to advertising along two distinct lines. First, political advertising geography explicitly drove some target selection — particularly New England and swing-state markets acquired in 2017. Second, acquisitions triggered a structural reorganization of national sales, with Gray systematically terminating national rep contracts for acquired stations and bringing sales in-house. One instance (Sioux Falls) framed the acquisition directly as a means of improving competitive position for local advertisers in a monopolized market.	> "Of particular note to me. This acquisition leads Gray to, for the first time in its corporate history, have 3 New England stations and all 3 of those New England stations have some of the highest political revenue in their markets and we are quite excited about that." Hilton H. Howell, Chairman, CEO and President [May 2017] > "We also announced that we anticipate that expense savings due to the termination of the national advertising subcontracts, net of increased personal expense, will be in the range of $8 million to $9 million in 2016, with net savings continuing in the year thereafter. Since that release, we have also arranged the termination of the national sales rep relationships that all of the television stations that we will acquire from Schurz, Sinclair and Lockwood, and each case effective at the closing or January 1, whichever is later." Kevin Latek, SVP of Business Affairs [Nov 2015] > "Barry, we -- this is a market in which there is a legacy TV station that for many, many, many years has led the market in ratings and revenue and is not owned by Gray Television. Our station, and the station that we have proposed to acquire, combined will provide a more competitive offering for advertisers and dealers in Sioux Falls than having -- than the current arrangement where one party sweeps up more than 1/2 of the ratings and 1/2 the ad dollars." Kevin P. Latek, Executive VP, Chief Legal & Development Officer and Secretary [May 2018]
****Local News**** Gray consistently identified news dominance as the organizing principle of its acquisition strategy, not merely a post-acquisition goal. Management distinguished this approach from scale-for-scale's-sake consolidation and framed market-leading news positions as the primary source of durable financial performance. The criteria extended beyond ratings leadership to cultural fit — targets were described as "truly culturally news institutions." This framing remained stable across the entire period without material revision.	> "Our acquisition strategy and the whole MO behind what Gray Television does is to have the dominant news station in the market that it serves. So we have never built it around putting the number four and number five TV station together and then making them better." Hilton Howell, President & CEO [Mar 2014] > "We completed 10 acquisitions that added 23 market-leading local news driven television stations to our portfolio. These 23 remarkable institutions fit the Gray culture of local market dominance which we believe is the only way to superior financial performance that is of permanent value." Hilton Howell, President and CEO [Mar 2015] > "The main issue that you will see us and we continue to reiterate this is we are looking for stations whether they are a group of stations or individual stations in markets that are truly culturally news institutions and or ways that we can add news distribution and entertainment and full whole broadcast spectrum in a vertical market that we are already in." Hilton Howell, President and CEO [Mar 2015]
****Acquisition Criteria**** Gray's stated acquisition criteria were unusually stable and explicitly restated at nearly every call: dominant #1 or strong #2 ranked stations, immediately cash-flow positive, avoiding regulatory complexity from JSA/SSA structures, and disciplined on price. Management repeatedly walked away from overpriced targets and framed patient opportunism as a long-standing competitive advantage. After the Raycom acquisition in 2019, the criteria remained unchanged, but the volume of active deal-making was expected to slow as integration took priority.	> "If you look at the portfolio that Gray Television currently owns of our TV stations, we have historically, and then throughout the course of this last year when we return to M&A, have focused on dominant stations, number one and number two in their markets, and those stations stand on their own." Hilton Howell, President & CEO [Mar 2014] > "As our investors all know, Gray has been built over the past two decades with careful, patient, and opportunistic transactions. Consequently, a number of times in recent months we have made a difficult decision to end our efforts to acquire high-quality television stations when valuations exceeded the prudent levels that we believe are appropriate for our Company. Thus, despite our increased bandwidth to make deals, we're not going to just spend the additional capital recklessly for the sake of increased scale." Kevin Latek, SVP of Business Affairs [May 2015] > "Specifically we will only pursue opportunities to you acquire number one or strong number two ranked station that fit our (technical difficulty) and values (technical difficulty) television stations. And only then if the acquisition can be completed under reasonable terms and immediately accretive to our shareholders." Kevin Latek, SVP of Business Affairs [Feb 2016]